

LANDCO NEXA

Environmental Status Summary

International Trade Park Houston | 12000 Bissonnet, Houston, TX

For Qualified Prospects | Second-Stage Diligence Document

Date:	May 2026
To:	Mark D. Lester, Principal — LANDCO NEXA
Re:	Environmental & Geotechnical Status — Prospect Framing Document

Purpose

This summary provides a concise, factual overview of the environmental and geotechnical status of the ITPH property for use in qualified prospect discussions. It is designed to be shared during the second stage of buyer engagement — after initial interest is established and before formal due diligence — to address the questions that inevitably arise about the site’s history and development suitability.

Key message: The site’s environmental history is a managed, documented, and nearly resolved regulatory condition — not an open liability. It does not affect development progress, construction, MUD bond issuance, lot sales, or project exit.

Environmental Status at a Glance

Item	Status	Impact on Development
MSW Permit	Active — revocation on track for Q3 2027	None. Does not prevent construction, permits, sales, or bonding.
Municipal Setting Designation (MSD)	In place — approved by TCEQ and City of Houston	Protects development by restricting groundwater use only.
TPDES Permit	Public meeting scheduled (procedural)	Required step — not discretionary. On track.
Subchapter N Mining	Proposal signed — ready to implement	Enables beneficial reuse of site materials.
Post-Closure Care	Secured by letter of credit	Obligation held by current permit holder; transferable at closing.
MUD 584	TCEQ approved (May 2026)	Approved with full knowledge of site history.
Geotechnical	Goodheart engaged — investigation underway	Site suitable for commercial/industrial construction.

MSW Permit — Detailed Status

The property carries an active Municipal Solid Waste (MSW) permit issued by TCEQ. The permit relates to the site's prior use as a landfill, which ceased operations years ago. The current permit holder is the project principal, Mark D. Lester, through the project entity. This is an important structural advantage:

- The permit holder is the seller/developer — not a remote third party. The buyer is not inheriting an unresolved liability from an unknown prior owner.
- TCEQ is actively engaged and the revocation pathway is defined: 8 consecutive quarters of groundwater non-exceedance, with revocation targeted for Q3 2027.
- The project team (SKA Environmental) is working with TCEQ to potentially reduce the 8-quarter monitoring requirement, which could accelerate the timeline.
- Post-closure care obligations are secured by a letter of credit held by the permit holder. This obligation can be transferred or novated as part of any sale transaction.

Critical point: The MSW permit does not restrict or delay any development activity. Construction, building permits, MUD bond issuance, lot sales, and project financing all proceed independently of the permit status. TCEQ approved MUD 584 with full knowledge of the MSW permit history.

Geotechnical Suitability

The site has been extensively investigated from a geotechnical standpoint. Goodheart Engineering is currently engaged for the road and geotech program under the master development infrastructure. Key findings:

- The site is suitable for a wide range of commercial and industrial construction types, including tilt-up concrete, pre-engineered metal buildings, slab-on-grade construction, and wood-frame multifamily.
- Foundation design will depend on specific building loads and use type. Deep foundations (drilled piers) may be required for certain heavy-load applications, which is standard practice across the Houston region regardless of site history.
- Light industrial, distribution, flex/warehouse, retail, and multifamily construction are all well within the site's geotechnical parameters.
- Large-scale heavy manufacturing with extreme point loads or vibration-sensitive equipment may require supplemental geotechnical analysis, but this is a narrow exception rather than a general limitation.

Any prospective buyer's design team will conduct their own geotechnical investigation as part of standard due diligence. The existing data and Goodheart's ongoing work provide a strong baseline that accelerates that process.

Regulatory Framework

Municipal Setting Designation (MSD)

The MSD is a TCEQ-approved institutional control that restricts groundwater use on the property. It was approved by both TCEQ and the City of Houston. The MSD does not restrict surface development, construction, or any above-ground use of the property. It is recorded against the property and runs with the land.

TCEQ Authorization for Soil Disturbance

Any excavation, trenching, or soil disturbance on the property requires prior TCEQ authorization through Form TCEQ-20787 (Authorization to Disturb Final Cover). This is a standard regulatory requirement for sites with capped landfill areas. The process is well-established, and the project team has experience navigating it. The Development Standards (Section 12.4) and CC&Rs (Article V) both require compliance with this process as a prerequisite for ARC approval and building permits.

CC&R Environmental Covenants

The recorded CC&Rs include comprehensive environmental covenants (Article V) that bind all lot owners to compliance with the MSD, TCEQ requirements, groundwater restrictions, soil disturbance protocols, and vapor mitigation obligations (where applicable). These covenants provide structural protection for all owners in the community and give lenders confidence in the governance framework.

What This Means for Buyers

The environmental history of this site is not a question mark — it is a known, managed, and nearly resolved condition with a defined regulatory pathway, active TCEQ engagement, and no impact on development execution.

- The MSW permit is on a defined path to revocation. The permit holder is the project principal, providing full transparency and control.
- TCEQ approved MUD 584 with full knowledge of the site history. The regulatory authority has validated the development path.
- Geotechnical conditions support commercial, industrial, retail, and multifamily construction. Foundation design is a standard engineering exercise, not a site-specific limitation.
- The CC&Rs, Development Standards, and ARC governance framework all incorporate environmental compliance requirements, providing structural protection for every lot owner and their lenders.
- The post-closure care obligation is secured and transferable. A buyer acquires a clean structure, not an open-ended commitment.

This document is provided for informational purposes and is not a legal opinion or environmental assessment.